~~36+2~~ ~~/50~~ 40/50

~~68%~~

80%

UNIT: ENTREPRENEURIAL SKILLS
CAT 2 – CONTINUOUS ASSESSMENT TEST

TIME: 1 HOUR
TOTAL MARKS: 50

KAIRU MARCUS

INSTRUCTIONS

1. Answer **ALL questions.**
2. Read each question carefully and apply entrepreneurial knowledge to the situation provided.
3. Show relevant examples where necessary.
4. The marks allocated to each question are indicated in brackets.

1. A young entrepreneur has started a small phone-accessories business near a college. After three months, sales begin to decline because several competitors are offering similar products at lower prices.

a) State **two possible reasons** why the entrepreneur may be losing customers.
(4 marks)

b) Suggest **two practical strategies** the entrepreneur could use to regain customers and improve sales.
(4 marks)

2. Mary wants to start a small business producing and selling fresh fruit juice. Before investing her savings, she decides to find out what customers want, the prices charged by competitors and the most suitable location for the business.

a) Identify the **business activity** Mary is carrying out before starting the business.
(2 marks)

b) Explain **three ways** this activity can help Mary make better business decisions.
(6 marks)

3. A group of students plans to start a laundry business near a technical college. They have identified students and college staff as their potential customers. However, they are unsure how to make their business different from existing laundries.

Suggest **four competitive strategies** the students could use to attract and retain customers.
(8 marks)

4. John operates a small food business. He records all money received from customers but does not record his daily expenses. At the end of the month, he discovers that he has very little money left despite having many customers.

a) Explain **two problems** caused by John's failure to record his business expenses.
(4 marks)

b) State **two financial records** John should maintain to improve control of his business finances.
(2 marks)

5. A local tailor has noticed that many young people want customised clothes but cannot afford expensive designer outfits. The tailor decides to use social media to display affordable customised designs and allow customers to place orders online.

a) Explain **two ways** the tailor is using creativity or innovation to develop the business.
(4 marks)

b) State **two benefits** the tailor may gain from using ICT in the business.
(2 marks)

6. Peter and three friends want to establish a small construction-materials supply business. They have limited capital and are considering operating the business as a partnership.

Give **three factors** they should consider before choosing partnership as their form of business ownership.
(6 marks)

7. A small business owner receives a contract to supply furniture to a college. The contract specifies the quantity, quality, delivery date and payment terms. The owner signs the agreement without reading it carefully.

State **two risks** the entrepreneur may face by signing a business contract without fully understanding its terms.
(4 marks)

1 (a) Poor marketing strategies. 2

~~Poor~~ High pricing that do not merge with the current competitor situation. 2 2

b) Providing some aftersale services like phone cleaning and dusting.

Providing discounts to their customers. 2

2. (a) Identifying the market gap and having a field study of it. 1

b. - She will be able to know the best price for her fresh ~~fruit~~ juices 3

- She will get the best location for her to get target customers.
- She will be able to make the decision on how much to invest at first.

3. (a) - They can give there customers a card where they can use it to get points for attending the laundry shop. 2

- They may provide full time services unlike other competitors. 1
- They can give discount to more frequent attending customers. 1
- Since laundry shops are usually much congested they can provide space for customers to wait as they get the services done. 2

4. a) Poor business management. John is unable to intervine on how he spends the business capital on his own expenses.

Uncontrolled spending → John lacks the self barrier between business capital ~~and~~ personal ~~his~~ own expenses. 2

b) - Business ledger

- Cash book 2

5. - Use of ICT to reach a larger market by displaying to the internet custom designed clothes. 2

- The tailor is using their innovation to cater for the young pe
time, cost of his marketing and covering the market gap all at

5. -The tailor reaches ~~a~~ wider market by using the internet. 2
-The tailor uses less business advertisement cost since the interne
is much affordable.. 2

6. The amount of capital they have ->which is limited. 2
The legal registration processes ~~and~~ of Partnership. 2
They should consider the location of their constraction material business and
the business name. 2

7. -Loss of Property if the contract may be a fraud. 2
Lack of meeting the deadline date and time for the contract 2

10

28
12
40